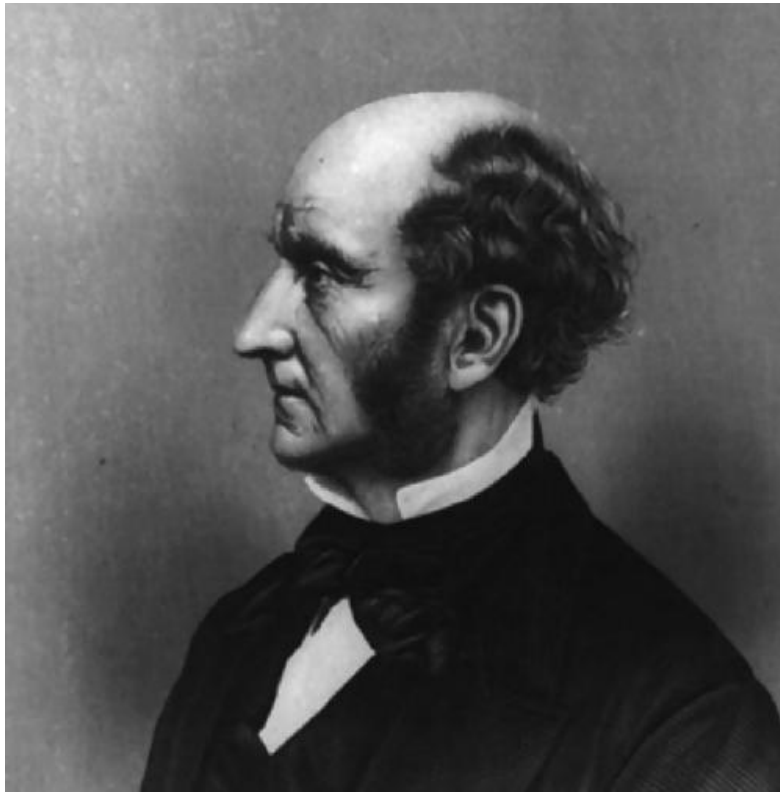


Economics and ethics



The founders of economics – figures such as Adam Smith and John Stuart Mill (opposite) – were philosophers: their work fused ethical enquiry with economic analysis. Since their time, however, economics and moral philosophy have become much less connected. Modern economics, with its mathematical models and sophisticated statistics, is often viewed as an objective, scientific discipline dealing with hard-nosed realities. In contrast, ethics is seen as subjective, not amenable to scientific analysis and existing in a wholly separate realm. Perhaps the central question of economics, however, is how to allocate scarce resources among individuals with conflicting desires. The question of whether to build more hospitals, universities or shopping centres has a strong ethical dimension, and many thinkers have continued to be interested in the interaction between economics and ethics. Recent studies of

individual economic behaviour have found that it is driven as much by moral beliefs such as principles of fairness as it is by economic calculation.